

PROCUREMENT POLICY

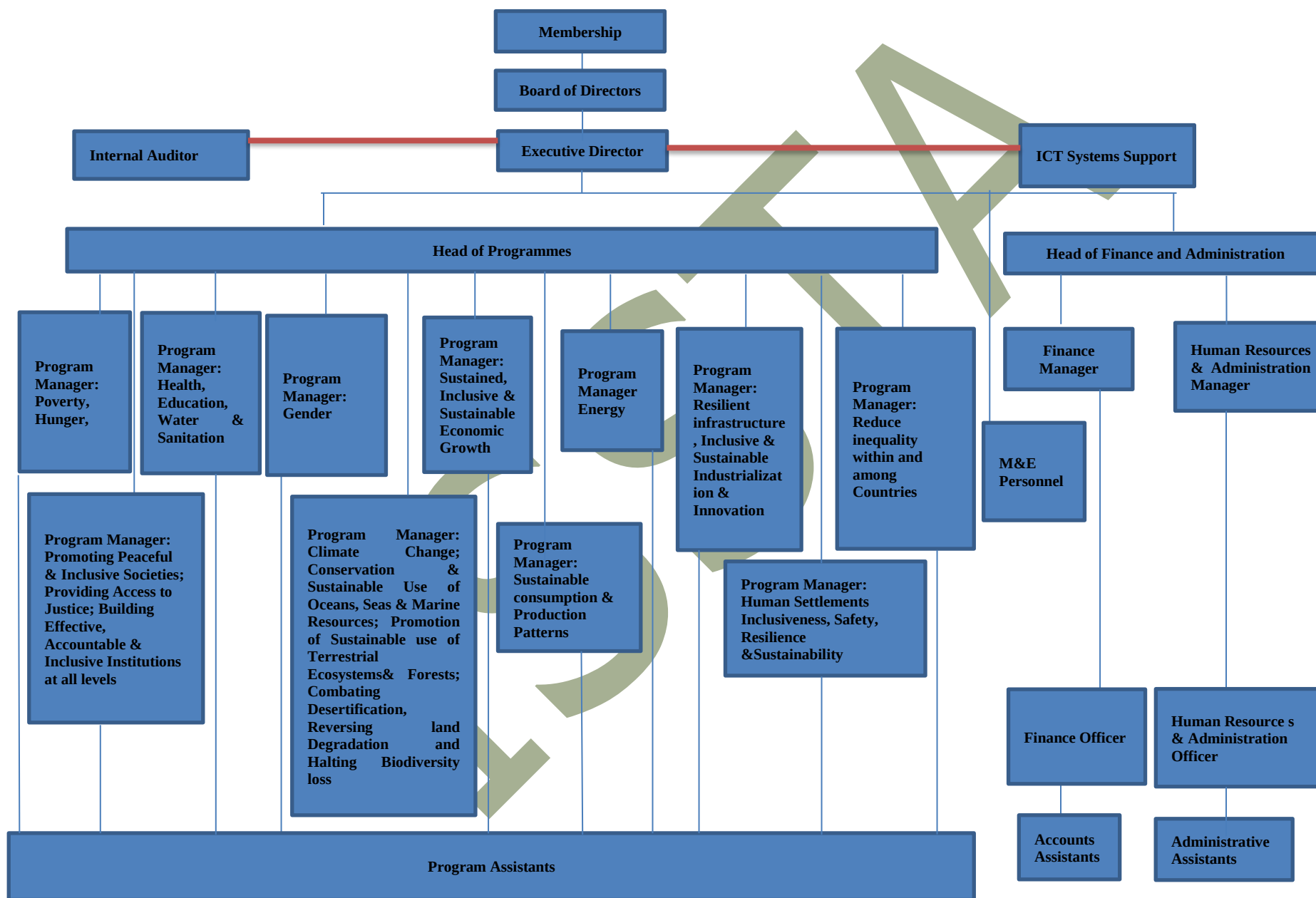
INSTITUTE FOR SUSTAINABLE SOCIOECONOMIC TRANSFORMATION OF AFRICA (ISSTA)



Institute for Sustainable Socioeconomic Transformation of Africa (ISSTA)
P.O Box 33800, Kampala
Tel: +256777725444
E-mail dredward@isstaug.org/isstaceo780@gmail.com
<https://isstaug.org>

January 2025

ISSTA Organogram



ISSUA

TABLE OF CONTENTS

No.	Particulars	Page
	ORGANOGRAM OF ISSTA	ii
	TABLE OF CONTENTS	iv
	LIST OF ACRONYMS	v
	ISSTA VISION, MISSION, VALUES, TARGET GROUPS, AND OBJECTIVES	vi
	DEFINITION OF TERMS	vii
	RESPONSIBILITIES	ix
1.0	THE PURCHASING FUNCTION/ROLE	12
2.0	THE PROCUREMENTS COMMITTEE	12
3.0	THE BIDDING PROCESS	12
4.0	PREQUALIFICATION	13
4.1	Pro forma Invoice Analysis or Cost Analysis	13
5.0	TERMS OF REFERENCE FOR PROCUREMENT COMMITTEE (PC)	14
6.0	PURCHASING PLANNING	14
7.0	LEGAL PROVISIONS AND THE SUPPLIER/VENDOR AGREEMENTS	14
7.1	Detailed description of goods or services	15
7.2	Defined Time Period for Delivery or Service	15
7.3	Clarity on Type of Vendor Contract	15
7.4	Clear Payment Terms	16
7.5	Enforceability of Agreement	16
7.6	Disqualification of Supplier(s)	16
8.0	Goods and Services Excluded from Bids	17
9.0	RECEIPT OF GOODS	17
10.0	RECEIPT OF NEW EQUIPMENT PURCHASES	18
11.0	RETURN POLICY	18
12.0	DELIVERY OF ITEMS TO FIELD OFFICES	18
13.0	DISTRIBUTION OF ITEMS TO BENEFICIARIES	19
14.0	DISCLAIMER	19
15.0	ANNEXE	20

LIST OF ACRONYMS

ED	Executive Director
FM	Finance Manager
GRN	Goods Received Note
HFA	Head of Finance and Administration
HoP	Head of Programmes
HRAM	Human Resources & Administration Manager
IA	Internal Auditor
ISSTA	Institute for Sustainable Socioeconomic Transformation of Africa
LPO	Local Purchase Order
MEAL	Monitoring Evaluation and Learning
MEP	Monitoring and Evaluation Personnel
PC	Procurements Committee
PA	Programme Assistant
PM	Programme Manager

ISSTA VISION, MISSION, VALUES, TARGET GROUPS, AND OBJECTIVES

ISSTA Vision

A world prospering in Sustainable Development, poised to cater for present and future generations

ISSTA Mission

Contributing to Sustainable Development of Africa through local, regional, continental and global frameworks

ISSTA Values

ISSTA embraces the values of Team Work, Solidarity, Results Achievement, Accountability, Value for Money, Not Leaving Anyone Behind, Do no Harm, Respect for all Persons, and Shared Responsibility

ISSTA Target Groups

Development stakeholders ranging from ordinary citizens (primary beneficiaries'/rights holders), local and central government (duty bearers), regional and international development agencies (partners)

ISSTA Key Objective

To support localization of sustainable development in selected locations of Uganda and Africa

ISSTA Specific Objectives

- (i) To build economically feasible non-partisan grassroots structures working towards food and nutrition security and market competitiveness
- (ii) To mainstream women, girls, youth, climate justice, health justice, PWDs, men, and deprived persons issues into activities of grassroots socioeconomic structures
- (iii) To build grass roots civic engagement capacities within grassroots structures and local civil society towards quality service provision by duty bearers, human rights observance, democracy and accountability

DEFINITION OF TERMS

Goods – They are tangible property that has a monetary value and to which, after purchase, ISSTA retains legal title for a period of time or uses such goods in activities implementation

Services – They are intangible items leading to a satisfaction of needs. For ISSTA services will include (but not limited to) professional, non-professional and commercial types of services like consultancies, catering, medical, banking, transport, mechanical/technical, training, hotel, insurance, and rentals

Works – This is construction, reconstruction, demolition, repair, or renovation of buildings on the surface or underground, underwater. The tasks include preparation, excavation, erection, assembly, installation, testing and commissioning of any plant, equipment or material, decoration and finishing

Supplies – They are raw materials, finished products, equipment or objects of any kind and description in solid, liquid or gaseous form which are used as 'consumables' in the day-to-day activities of ISSTA. These can include utilities such as power and water; cleaning products, fuel, stationary etc.

Provider – This is a natural persons or legal entities contracted to deliver goods and services like consultancies, external audits, cleaning, internet, staff uniforms, and automobile repairs

Specifications – They are a description of a product characteristics for instance a 4 door pick up double cabin, white in color, manual gear lever system, diesel engine of 3000ccs etc.

Tender – it is a formal, structured invitation to suppliers to bid for the supply of goods and services. There exist different types of tenders namely open tenders, closed tenders, negotiated tenders, and single- and two-page tenders.

Open tenders provide opportunity for all eligible publics to apply for participation in the bidding process. The bidding process is a commercial arena of competition for an opportunity to engage in supply business with an organization that is need of goods and

services. So, in this case, ISSTA would invite quotations through media from eligible and interested entities from which a selection would be done.

Closed Tenders are selective and are about inviting a few participants to the process. Normally such participants/vendors are already listed on a prequalification list of companies already proven to have capability to carry out the job efficiently. So, these supply their quotations and from this a selection of the most suited to supply is made.

Negotiated tender process is about inviting quotations from a single company and most appropriate for specialized jobs. At submission of the quotation, the bidder is invited for negotiation of terms and conditions.

Single and two staged tenders involve inviting the bidder to submit a detailed quote for details of works to be accomplished. The bidder is not expected to change the bid price. The second stage of the process is about a collaborative discussion about the methodological approach and reaching an agreement about the cost of the project. After this, the bidder cannot change the bid price. The client is selected on the basis of having capability to handle the wide scope of work

Pre-qualification – It is a process through which an entity in need of goods and services in the short or medium term seeks to compile a list of eligible service providers for a category or categories of goods and services. Bids are invited and suctioned through a screening process using appropriate parameters. A register or data base of prequalified companies is normally kept in the procurement office

Bidder - means a physical or legal person from the public, intending to participate or participating in the commercial supply of goods and services to an entity floating the call or bid notice

Bid Notice - means any advertisement by which eligible providers are invited to submit quotations for the provision of goods and services. A bid process could be about purchasing assets from an entity through an asset's disposal process

Purchasing - is a process of commercially acquiring goods and services from a market. Purchasing can feature as direct exchange of goods and services for money, it can also

be rental, lease, hire purchase, license, tenancy or any other contractual means, of any type of works, services or supplies or any combination

Purchasing process - means successive stages in the Purchasing cycle including planning, development of specifications, choice of selection procedure, measures to solicit offers from bidders' examination and evaluation of those offers, award of contract, and contract management

RESPONSIBILITIES

- (i) The Procurement Committee (PC) chaired by the ED will comprise the Finance Committee of the BoDs, the ED, HFA, and HoP. The PC will be chaired by the ED and is responsible ensuring that goods and services are procured in a timely fashion in accordance with required specifications and guidelines and procedures
- (ii) Staff from programmes or administration departments' wishing to make a procurement have to ensure that its done well in advance of need and that the suppliers involved are enlisted on the pre-qualification list as well as invite bids from at least three suppliers. In forwarding bids to the PC for commencement of the selection process, the papers must bear the endorsement of the line Manager i.e., the FAM, PM, or PD. Procurements must be consonant with the SP budget line items. At this point, the managers have to check the files to ensure that the papers are in order so that the time of the committee is not wasted.
- (iii) The Chairperson of the PC sets the parameters and scores for selecting the best bidder that the PC members have to consider with all presented on a score sheet
- (iv) Only ED, HoP, and HFA can sign out an ISSTA LPO or other form of contract but with prior consultation amongst each other particularly with HFA

1.0 THE PURCHASING FUNCTION/ROLE

In case of purchases exceeding UgX50,000,000, the committee will be responsible for its suctioning. For purchases up to UgX50,000,000 the ED will be the final authority.

2.0 THE PROCUREMENTS COMMITTEE

ED will be the chairperson of the Procurements Committee (PC) which will comprise members of the Finance Committee of the BoDs, HoP, HFA, 1 Administration Officer, and 1 Programme Officer. As hinted above, HFA will in collaboration with HoP, arrange to have in place, a prequalification list of suppliers for goods and services. The procurements for PC processing originate from the departments and have to be coherent with the budget lines of the SP. By the time the files get to the committee, they should have been checked for appropriateness and endorsed by the line managers.

3.0 THE BIDDING PROCESS

The process normally has 5 steps which comprise Bid solicitation, bid submission, bid selection, Contract formation, delivery of goods and services. Confidentiality should be maintained at all levels of the bidding process. The Procurement committee will open and review the submitted sealed bid documents. Bid opening proceedings will be documented by the secretary and reasons for selecting a specific supplier given.

During the bid solicitation phase, ISSTA will invite bids from the public, mentioning the terms and conditions pertaining to the supply. This is also referred to as Invitation for Bid (IFB), Request for Quote (RFQ), or Request for Proposal (RFP). Information generally communicated is about specifications, project requirements, contract type, delivery methods, bonding and insurance requirements. The solicitation will typically also ask for additional information about the contractors who apply, including professional qualifications and examples of similar past projects. Such information can also be used for prequalification.

During the submission phase, interested bidders submit documentation about the methodology, timeline and costs, as well as information about their business. Depending on the size of the contract, bidders may solicit their own bids from subcontractors they need to hire to complete specialized aspects of the job. The lead bidder will then combine the subcontractor proposals to prepare the bid which they jointly submit. Depending on the size

of the contract, the bidder may be required to submit a bid bond along with the bid in order to be considered. The bid bond serves as a guarantee to ISSTA that the supplier will be able to complete the project according to their stipulations.

During the bid selection, the lowest bidder may not always win because other factors are considered like experience, and track record. At this stage, ISSTA will have to take the submitted bids through a bid leveling process. Here the ISSTA PC will attempt to standardize bids to arrive at a fair comparison establishing similarities and differences. This process will enable ISSTA to compare "apples to apples" in a bid to make informed decision about the right bidder for the job.

After the ISSTA PC has selected the best bidder, they will work with them on any outstanding discrepancies and consequently sign an agreement.

Goods and Service Delivery is the final stage and will be managed by the PC. While the ED will provide oversight and receive updates, the line manager concerned (HoP, HFA, and 1 Administration Officer, and 1 Programme Officer) will be directly responsible for quality output and timely delivery.

4.0 PREQUALIFICATION

HoP, HFA, and 1 Administration Officer, and 1 Programme Officer in consultation with line managers, shall identify ISSTA needs exceeding UGX 50,000,000 and compile a list of goods and services warranting the engagement of suppliers enlisted of prequalification list. With the approval of ED, HFA will place media advertisements inviting expression of interest from the public. The ED will convene a sitting of the PC to cause a selection of the prequalification list. Qualifying candidates will be kept on data base in the custody of HFA. Details can be shared with the ED, HoP, HFA, and 1 Administration Officer, and 1 Programme Officer, and AA.

4.1 Pro forma Invoice Analysis or Cost Analysis

- (i) Quotations and Bids received relating to expenses of UgX50,000,000 and below should be analyzed by the internal committee of the secretariat comprised of ED, HoP, HFA, and 1 Administration Officer, and 1 Programme Officer, and AA should analyze quotations for compliance to specifications and cost-effectiveness and

related issues, the comparison of price quotations submitted, market prices and similar indices inclusive of delivery schedules, availability, vendor integrity, record of past performance, financial, technical resources or accessibility to other necessary resources and the potential ability of the vendor to deliver the proposed Purchasing in a timely manner.

- (ii) The pro forma invoices/bids and internal procurement committee minutes are submitted to the ED/Chairperson internal procurement committee who directs the selected bidder documents to PAMS office for processing, down payment, and contract management

5.0 TERMS OF REFERENCE FOR PROCUREMENT COMMITTEE (PC)

- (i) Led by the ED, the PC will execute its duties
- (ii) Approve bid solicitation documents
- (iii) Open sealed tender bids in consultation of technical person(s) co-opted
- (iv) Evaluate bids/quotes and select the best possible supplier
- (v) Ensure that the Purchasing process is carried out in line with the ISSTA procurements policies and procedures
- (vi) The Committee may seek such competent and technical advice whenever it requires

6.0 PURCHASING PLANNING

- (i) All procurements shall be done according to the approved work plans and budgets
- (ii) All Staffs intending to procure items will include it in a quarterly procurement plan directed to their line managers and consequently to the ED for initial approval. The plan will be useful as a reminder in the context of several needs and for FAM to be conscious of needs and set aside the necessary resources

7.0 LEGAL PROVISIONS AND THE SUPPLIER/VENDOR AGREEMENTS

ISSTA through its Legal Counsel will prepare contracts for all suppliers of ISSTA including comprehensive terms and conditions. Contracts will come into force from the date of signing. Contracts will under normal circumstances be signed by the ED and an authorized representative of the supplier. This should be reflected in the key documents like Local

Purchase Orders (LPOs), express contractual agreements stating the terms, conditions and obligations of each party in the Purchasing contracts.

7.1 Detailed description of goods or services

By and large, contracts should comprise, a detailed description of goods or services. The vendor agreement should define the products or services the vendor agrees to deliver, along with the down payment and payment schedules and types. The contract should also specify the project timelines, necessary materials, and distribution specifics. This part of the agreement must be detailed down to the timelines, dates, numbers, and figures to minimize ambiguity and ensure both parties are on the same footing. It is convenient for both parties to allow room for a discussion of terms and conditions and reach an amicable and most pragmatic position.

7.2 Defined Time Period for Delivery or Service

It is practical to outline the time period for the delivery of the goods and or services in the vendor agreement. This timeline may be specific dates or recurring timeframes, depending on the nature of the vendor relationship. Automated workflows for vendor contract management can allow teams to manage timeframes and delivery periods with key date and task alerts both in-system and via email. Additionally, reports can be run to provide vendor management staff i.e., FAM with the right information when they need it, such information can be calendar dates, in-system alerts, emailed reports, etc. This is in case an electronic vendor management system is installed.

7.3 Clarity on Type of Vendor Contract

Different scenarios call for different types of vendor contracts.

Some key contracts include:

- (i) Fixed Price Contract which is applicable when the scope and deliverables of a project are well-defined. It offers financial certainty for both parties and can help in maintaining budget control
- (ii) Time and Materials Contract which is applicable when the project's scope is uncertain or likely to evolve, a time and materials contract is often the better choice. It allows for

billing based on the actual time and materials used by the vendor. However, it may entail a higher financial risk due to potential cost overruns. As such, proper vendor and contract risk management are key

- (iii) Distribution Agreement Contract which is applicable when a vendor is tasked with distributing a company's products in a specific market or geographical region. The contract terms define the rights of both parties, payment terms, delivery specifics, and marketing of goods or services.

7.4 Clear Payment Terms

Payment terms, including the hourly rate, lump sum payments, or other payment arrangements, must be clear in the vendor agreement. Details like payment methods, schedules, and due dates should also be explicitly outlined. The aforementioned vendor contract management workflows can remind teams of payment timelines and amounts due. Additionally, it provides ability to track financials against the ISSTA budget.

7.5 Enforceability of Agreement

The agreement has to be of value which is primarily reflected in its legal nature but it also has to be made on presentable paper. There has to be an atmosphere that something of value is being exchanged for something of value. Parties can accept, decline, or make a counteroffer. Terms and conditions of the offer are cemented through acceptance, negotiation, and signatures. Parties need to acknowledge their mutuality of a binding agreement and that they must fulfil their obligations to avoid breach of contract. Parties must acknowledge that the contract is a lawful i.e., "quid pro quo." An assumption by each party should be that each are of legal age, sound mind, and qualified in pursuing the contract to its successful end. Finally, there should exist a certainty that there is nothing illegal going on with the agreement.

7.6 Disqualification of Supplier(s)

Where it is discovered that a supplier is no longer competent enough to carry out business with Shines Children's Foundation or has cheated affiliate community; such a supplier will be scrapped from the list of all potential current and future suppliers. The following shall be grounds on disqualification: where there is a substantial conflict of interest between ISSTA and the supplier or Supplier Company; where it is discovered that the supplier has had ISSTA

insider information and the transactions have become questionable; where the supplier goes into receivership or liquidation and the legal existence is lost. In this case it will be very risky for ISSTA to continue dealings with such suppliers in the performance of the contract; where the supplier persistently supplies substandard or questionable, supplies, which lead ISSTA to incur losses; and where the supplier has cheated ISSTA or its affiliates by failing to complete a contract.

8.0 Goods and Services Excluded from Bids

As already hinted above, goods and services costing UgX50,000,000 and below are not subject to bidding processes. This means that staff on official duty outside the station, do not need a prequalification list to purchase and air ticket or to book hotels, or a taxi from the airport to the hotel. By and the large, the following do not require to go through a bidding process: Hotels, Restaurants, Event venues, Catering services, independent consultants, Advertisements, Airlines, and Travel agencies.

9.0 RECEIPT OF GOODS

- (i) Goods will generally be received by HFA. If receipt of the goods requires technical support the receiver shall arrange for it well in advance of receipt of goods. Since HFA needs to verify that specifications are as demanded and in the correct quality and quantity. In case a deviation is discovered, goods cannot be received. This means that the vendor has to take back the goods. The notes on the delivery note should actually make be clear on goods received and goods rejected.
- (ii) FAM will sign off the delivery documents and also stamp them "RECEIVED".
- (iii) A Goods Received Note (GRN) will be prepared by the Accountant or AA in triplicate. The GRNs shall have serially pre-printed numbers.
- (iv) Damaged goods should be rejected and handed back to the supplier for replacement on delivery

10.0 RECEIPT OF NEW EQUIPMENT PURCHASES

New equipment should be unpacked, installed, and tested upon receipt of the shipment. This will ensure cases of damaged, incorrect, or inoperative equipment are discovered and reported to the vendor in time so that payment can be made according to the payment terms.

This type of equipment must be checked by a technically competent person/user who will endorse the delivery paper.

11.0 RETURN POLICY

As part of the contract, generally, vendors will be asked to provide a 30-day return guarantee for defective items in which all qualifying returns must be made. After this time period, the vendor is under no obligation to accept returned merchandise. In case there is no such guarantee receivers at ISSTA should doubly check goods delivered before signing delivery notes.

12.0 DELIVERY OF ITEMS TO FIELD OFFICES

If items have to be delivered to another location after receipt at head office, they should be delivered using an ISSTA delivery book and register that the receiving officer should sign and stamp on delivery. As already discussed, this should be in triplicate with the original copy retained by the receiver at the community office. The 2nd copy should be retained and filed while the 3rd remains in the book.

13.0 DISTRIBUTION OF ITEMS TO BENEFICIARIES

If the items are to be delivered to beneficiaries, a distribution list should be prepared.

The list should, at a minimum, have the following information: Name of the beneficiary; Organization and location; Date of delivery; Main donor; Items to be distributed; and signature/stamp of the recipient. A copy of the list should be returned to the accountant for store and accountability purposes.

14.0 DISCLAIMER

No part of this document may be copied or reproduced in any form for distribution to other agencies, organizations or entities without prior written permission from the ED, except to the extent such restriction is prohibited by applicable law. ISSTA will not be liable in whatever case should anybody use this manual outside ISSTA mandate.

15.0 ANNEX: NO CONFLICT-OF-INTEREST CERTIFICATION

Name.....

1. Confidentiality of Bidders:

I hereby confirm that I will evaluate all the bids or applications received against the published evaluation criteria.

I agree to discuss the contents of the bids or applications only with the procurement committee members.

I also agree not to contact the bidders or applicants concerning any aspect of their submitted bids/applications and not to use any information for personal gain.

2. Conflict of interest:

I..... hereby confirm that to the best of my knowledge I do not have a conflict of interest and that my particular circumstances are not likely to raise the appearance of a conflict of interest for the purpose of this matter. I understand that such a conflict of interest may arise if I, my spouse or partner, Child, close friend or relative, work for, are negotiating to work for or have a financial interest. (including an unpaid member of Board of Directors) in any organization that submitted a bid or an application that is under committee's review.

I also acknowledge my responsibility to disclose the acquisition of any financial or personal interest as described above that would be affected by the matter, and to disclose any interest I, or any one noted, has in any person or organisation that does become involved in or is affected at a later date by, the conduct of this matter.

Signature.....Date.....

Designation.....